INSITE™

DEVELOPMENT IMPACT FEE
FINANCING PROGRAM

DEVELOPER MANUAL

Prepared by HGF Management Company, Program Administrator

August 05, 2026

PART 1 · THE PROGRAM IN THREE QUESTIONS

Build the houses. We'll handle the impact fees.

California residential projects, 1 to 50 lots. Three answers, then the application.

QUESTION 1

How do I get the money?

You don't get a check. You don't need one. When your permits are pulled, INSITE pays the eligible impact fees straight to the city. No draw schedule, no monthly payment, and the project's deal costs are rolled into the tax roll at origination. Your day-one cash on fees: zero.

QUESTION 2

How does it get paid back?

It attaches to the dirt, not to you. Each lot carries one line on its property tax bill. While you hold a lot, you pay that line on that lot. When the lot sells, the line goes with it. You never write a payoff check.

PROPERTY TAX BILL · ONE LOT · ILLUSTRATION

County general levy	as assessed
INSITE special tax	set at formation
Other district charges	as assessed

The special tax travels with the lot. New owner, same line, until the special tax is retired.

QUESTION 3

What's the process?

STEP 1

Tell us about your project

The short application: who you are, where the lots are, what the city charges. Ten minutes with your fee schedule in hand.

STEP 2

Sign and build

We underwrite, you sign, and the fees are paid when permits are pulled.

Example: 10-lot residential subdivision

A developer constructing a 10-lot subdivision with approximately $250,000 of eligible public fees can finance those costs through INSITE rather than paying them upfront.

10
Residential lots
$25,000
Eligible public fees per lot
~$2,400
Estimated annual Special Tax per lot

Repayment occurs through the county property tax roll and generally transfers with the property upon sale. The financing is secured by the property's Special Tax and repaid over the financing term. This preserves working capital for land development and home construction while reducing reliance on higher-cost construction financing. School fees are excluded at launch.

Your effort, our effort

YOU

- Complete the short application
- Send the city's fee estimate
- Sign the participation agreement

INSITE

- Underwrite the project and the collateral
- Handle the district paperwork
- Pay the fees at the permit counter
- Administer the tax roll each year

Ready when your fee schedule is.

Pull your city's posted fee schedule, then start the application. Want your numbers first? The estimator takes two minutes.

Or estimate your project's fees first.

PART 2 · QUALIFICATION

For residential developers

Quit paying impact fees out of your pocket.

Your capital belongs in dirt and sticks, not in a receipt from the city 18 months before your first closing.

Do you qualify? Three numbers tell you.

If your project clears the three numbers below and fits one of the project types, it is worth fifteen minutes to apply. Qualification is the program's review before your project goes to the public agency.

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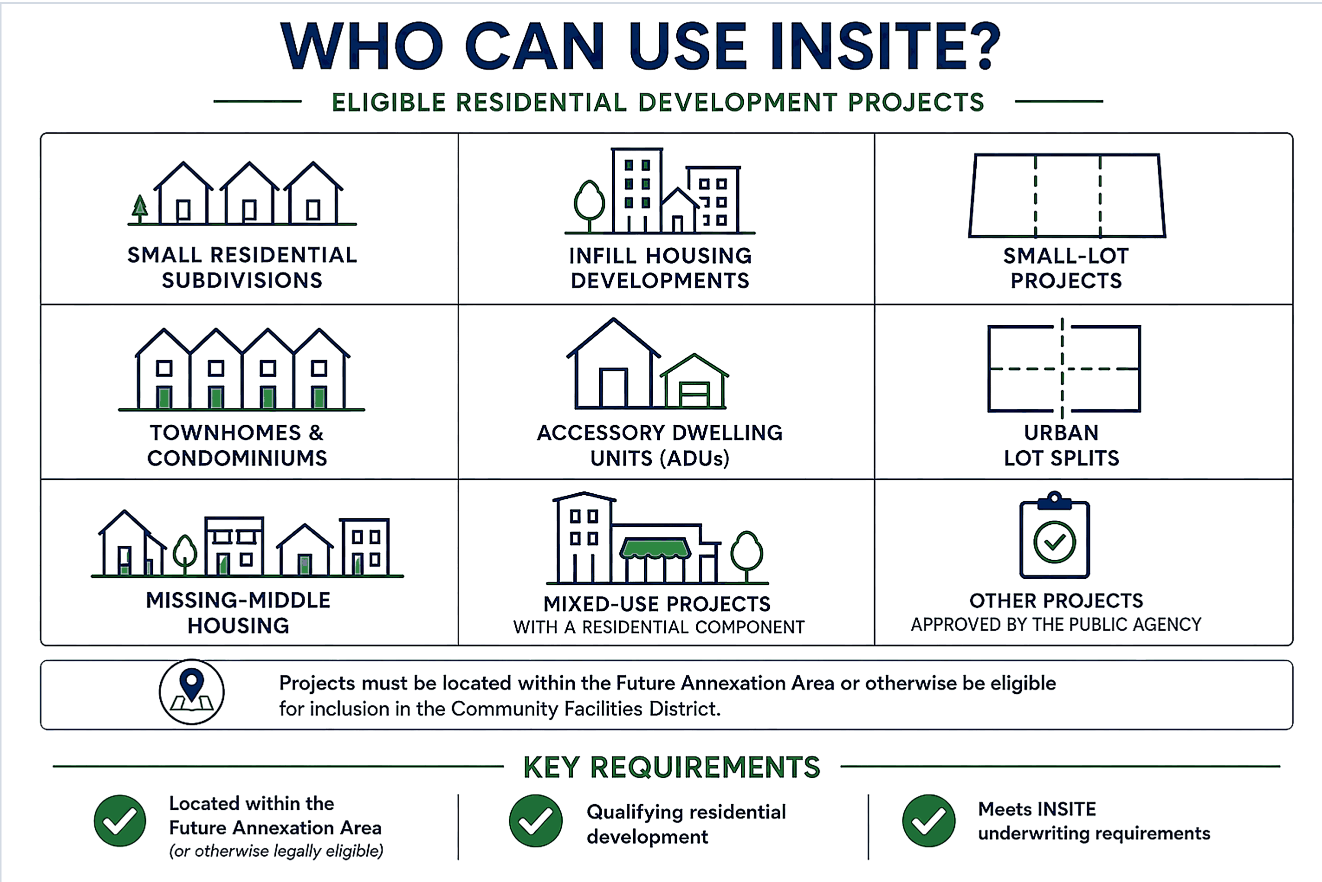
1–50 Lots or Units
Small projects are the point, not the exception.
$40,000 of Fees
That's the whole entry bar — roughly the average impact fee bill for one new California home (the Franchise Tax Board estimated $33,500 in 2019; about $40,000 in today's dollars). One house can clear it. Your agency may set its own floor.
Residential Projects
Subdivisions, infill, townhomes, ADUs, lot splits, missing-middle, and mixed-use with a residential component.

Project types

If you're building housing, you probably fit.

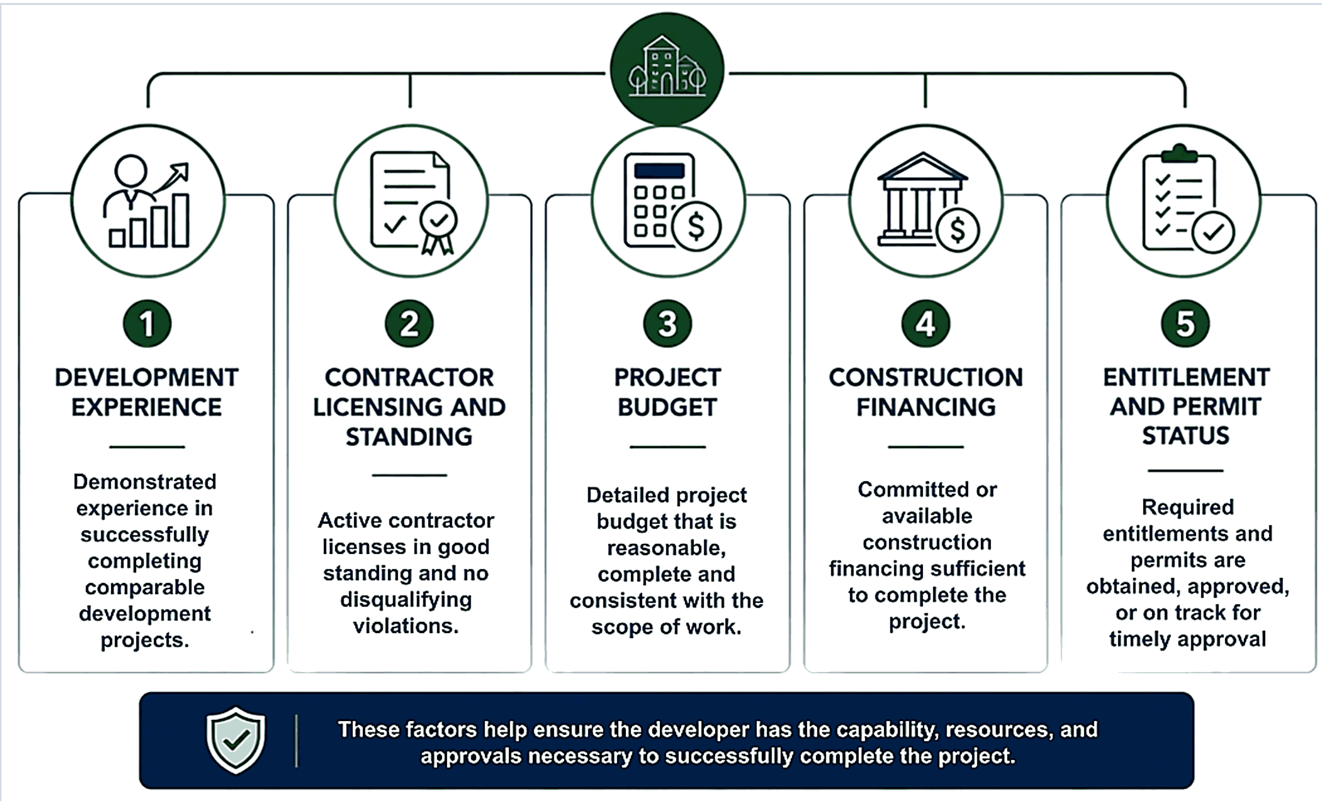


Location requirement: the project must sit within the Future Annexation Area of a participating agency's Community Facilities District, or otherwise be eligible for inclusion. Not sure? Apply anyway; that check is our job, not yours.

What we look at

Five things, and you already know all five.

No new paperwork exists here. Every item is something your lender or your building department has already asked you for.



The fine print, in plain words

Two things to know before you apply.

Ownership. You need legal title, contractual authority, or the written consent of every required property owner. If you're in escrow, that can work; tell us where you stand.
Qualification is not a commitment. Qualifying means your project passes the program's review and goes to the public agency. Final participation depends on agency approval, completion of the required legal proceedings, satisfaction of financing requirements, and availability of capital. Nobody can promise you the money before those happen, and anyone who does is selling you something.
What can be financed: eligible public development impact fees, plus certain acquisition and incidental financing costs where the CFD formation documents, the public agency, and applicable law allow it. School facilities fees are excluded at program launch.

Clear the three numbers, fit a project type, own your dirt. That's qualification.

PART 3 · YOUR FEES, THE COMPARISON

What your fees look like through INSITE

No calculator needed. Here is the whole comparison, in the founder's own example.

Example: 10-lot residential subdivision

A developer constructing a 10-lot subdivision with approximately **$250,000** of eligible public fees can finance those costs through INSITE rather than paying them upfront.

- **10 residential lots**
- **$25,000 in eligible public fees per lot**
- **Estimated annual Special Tax:** approximately **$2,400 per lot**
- **Repayment occurs through the county property tax roll and generally transfers with the property upon sale.**

The financing is secured by the property's Special Tax and repaid through the county property tax roll over the financing term. This preserves working capital for land development and home construction while reducing reliance on higher-cost construction financing.

The day-one difference

Paying fees yourself on that project: **$250,000 in cash at permit**, roughly 18 months before your first closing. Through INSITE: **fees we pay on your behalf at the permit counter**, and your day-one cash into fees is zero. Deal costs are financed into the note.

Your project runs on your jurisdiction's posted fee schedule, not the example. School fees are excluded from financing at launch. Figures shown are founder estimates for illustration; rates and final numbers are set at term sheet.

PART 4 · APPLICATION

Complete and return to HGF Management Company, or apply online through the program website.

Applicant name

____

Development entity

____

Email

____

Phone

____

Project name

____

Jurisdiction

Name the city OR the county, e.g. Sacramento City, or Sacramento County unincorporated

____

Number of lots

____

Lot status

Raw, mapped, entitled, or permits in hand

____

Estimated public impact fees ($)

____

Check what you can attach today

Missing items don't stop the application; the rest is collected during underwriting.

- ☐ Preliminary title report
- ☐ Tract or parcel map
- ☐ Project budget
- ☐ Jurisdiction fee schedule
- ☐ Entitlement status documentation
- ☐ Entity formation documents

Notes

____

Signature and date

____